

Chapter 3: The Environment and Culture of Organizations and Managers

1. What is the Business Environment?

The business environment consists of external and internal factors that influence an organization.

External Environment: Everything outside an organization's boundaries that impacts it. It is divided into:

1. **General Environment:** Economic, legal, political, socio-cultural, international, and technological forces.
2. **Task Environment:** Specific groups and organizations that directly affect the firm, such as competitors, customers, suppliers, regulators, and strategic partners.

Internal Environment: Factors within the organization, including owners, employees, physical environment, board of directors, and organizational culture.

2. What are the Components of the External Environment?

- **Economic Dimension** – The overall health and stability of the economy.
- **Technological Dimension** – refers to the methods available for converting resources into products or services.
- **Sociocultural Dimension** – Values, customs, and demographic characteristics of society.
- **Political-Legal Dimension** – is the extent of government regulation of business and the general relationship between business and government.

- **International Dimension** – is the extent(পরিমাণ) to which the organization is affected by business in other countries.

3. What are the Components of the Task Environment?

- **Competitors** – Other businesses competing for the same resources and customers.
- **Customers** – Individuals or businesses that buy an organization's products or services.
- **Suppliers** – Businesses that provide resources and raw materials for the organizations.
- **Regulators** – Agencies and interest groups that influence business policies and practices.
- **Strategic Partners** – Organizations that collaborate to achieve mutual benefits.

4. What is the Internal Environment?

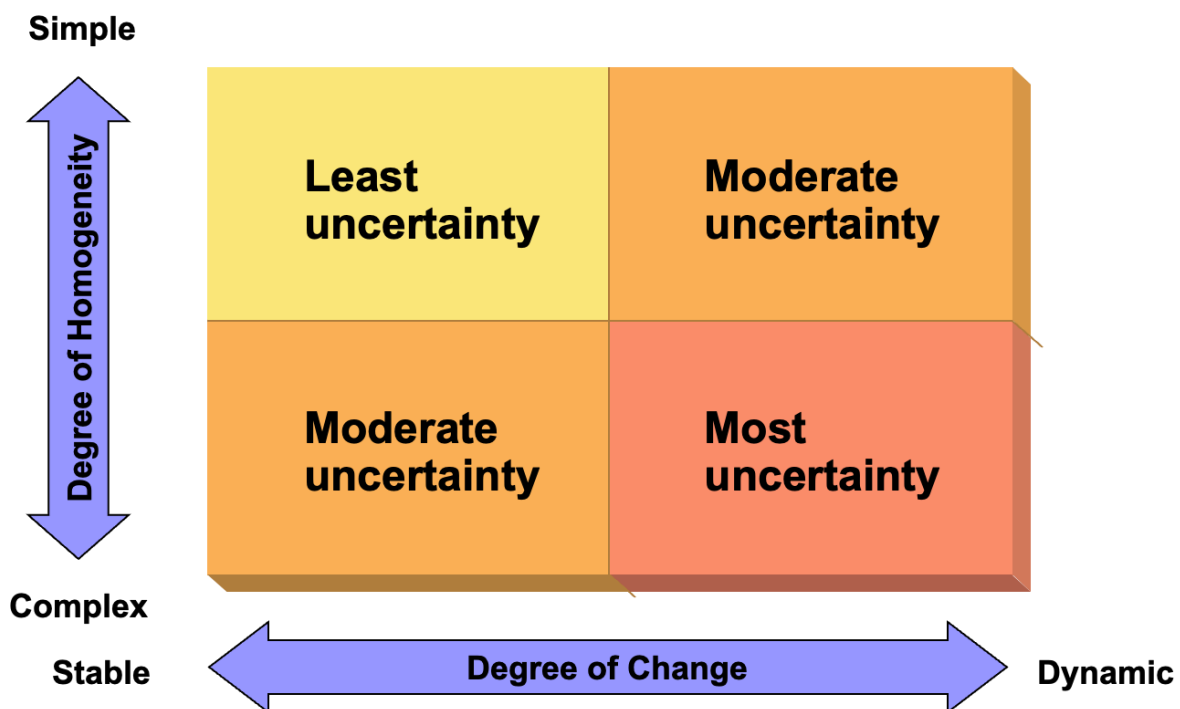
- **Owners** – are persons or Individuals or entities with legal rights to a business.
- **Board of Directors** – are elected by the stockholders and are charged with overseeing (তত্ত্বাবধান) the general management of the firm to ensure that it is run in a way that best serves the stockholders' interest.
- **Employees** – The workforce that operates the organization.
- **Physical Work Environment** – is the actual physical environment of the organization and the work that people do. The facilities, infrastructure, and workplace conditions.

5. How Do Environmental Changes Affect Organizations?

Organizations are influenced by:

1. **Change and Complexity** – The speed and extent of change in the environment.
 2. **Uncertainty** – The unpredictability of external factors impacting decision-making.
- Environmental change occurs in two ways:
 - Degree to which change in environment is occurring
 - Degree of homogeneity or complexity of the environment

Uncertainty is a driving force that influences organizational decisions.



6. What is Porter's Five Forces Model of Competitive Forces?

This model analyzes the competition in an industry:

1. **Threat of New Entrants** – Ease(আরাম) of entry for new competitors.
2. **Competitive Rivalry** – Intensity of competition among existing firms.
3. **Threat of Substitute Products** – Availability of alternative products/services may replace the need for existing products/services.

4. **Power of Buyers** – Influence of customers on pricing and product quality.
5. **Power of Suppliers** – Control of supply over pricing and availability of resources.

7. How Do Organizations Respond to Their Environments?

Organizations respond in several ways:

- **Information Management** – Gathering and analyzing external data.
- **Strategic Response** – Adjusting business strategies to environmental changes.
- **Mergers, Acquisitions, and Alliances** – Combining with or acquiring other firms for market advantages.
- **Organizational Design and Flexibility** – Adapting structure to environmental conditions.
- **Mechanistic Firms** – Rigid, structured organizations suited for stable environments.
- **Organic Firms** – Flexible, adaptive organizations suited for dynamic environments.
- **Direct Influence** – Influencing external factors by lobbying, partnerships, or supplier relationships.

8. What are the Models of Organizational Effectiveness?

Different approaches define organizational success:

- **Systems Resource Approach** – Acquiring necessary inputs efficiently.
- **Internal Processes Approach** – Improving internal processes for efficiency.
- **Goal Approach** – Achieving set objectives and goals.
- **Strategic Constituencies Approach** – Meeting stakeholder expectations and feedback.



Summary

This chapter explains how organizations interact with their environments, both internally and externally. It discusses factors influencing businesses, competitive forces, and strategies to adapt to changing environments.

Would you like further details on any specific topic? 🚀